

3.4 Financial statements

Understanding the purpose and content of the trading account, the profit and loss account and the balance sheet, and how the financial information they provide can be used to assess business performance.

Understanding the terms 'gross profit' and 'net profit' and the difference between them, and the terms 'capital', 'asset' (including fixed and current assets) and 'liability' (including current and long-term liabilities).

Understanding why accounts are prepared and how the financial information they provide is used in decision making for the business as a whole.

(Students will not be required to construct accounts.)

Content	Explanation of content
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